

- **Terminal Value:** DDM often includes a terminal value representing the company's value beyond the explicit forecast period.

7.4 Relative Valuation Metrics

Relative valuation involves comparing the target company's valuation multiples to those of its peers or the broader market. Common relative valuation metrics include:

- **Price-to-Earnings (P/E) Ratio:** Compares the stock price to the company's earnings per share.
- **Price-to-Book (P/B) Ratio:** Relates the stock price to the company's book value per share.
- **Price-to-Sales (P/S) Ratio:** Compares the stock price to the company's revenue per share.
- **Enterprise Value (EV) Ratios:** Include metrics like EV-to-EBITDA and EV-to-Sales, providing a broader view of valuation that considers a company's debt.

Investors often use a combination of these valuation methods to triangulate a fair value estimate. Each method has its strengths and weaknesses, and a holistic approach to valuation involves considering multiple perspectives to arrive at a well-informed investment decision. In the following chapters, we will explore how valuation integrates into the broader fundamental analysis framework, providing investors with the tools to assess investment opportunities with clarity and confidence.

Chapter 8

Risks and Challenges in Fundamental Analysis